TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Analysing final accounts

Strand 2: Enterprise
2.13 Analyse and evaluate its financial position



A revision lesson. Pupils run a car dealership in firms of four and revise analysing final accounts on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Gross profit margin

Round 1

Last year's accounts.

Gross profit margin, as a %?

Cars sold	**12 cars**
Price per car	**€16,500**
Gross profit	**€45,540**

ANSWER

23%

12 × €16,500 = €198,000; €45,540 ÷ €198,000 × 100 = 23%

Why: It keeps 23p of every €1 of sales before overheads.

2 Why net margin fell

Round 1

Gross profit margin stayed the same, but net profit margin fell.

Which two could explain this?

- **A** Cars cost more to buy
- **B** Staff wages rose
- **C** More cars were sold
- **D** Prices were cut
- **E** Rent rose

ANSWER

- ✓ **Staff wages rose**
- ✓ **Rent rose**

Why: Only overheads come between gross and net profit.

3 Rank gross margin

Round 2

Three dealers: sales and gross profit for the year.

Order by gross margin, highest first?

- **A** Sales €500,000, gross profit €100,000
- **B** Sales €200,000, gross profit €50,000
- **C** Sales €80,000, gross profit €24,000

ANSWER

1. **Sales €80,000, gross profit €24,000**
2. **Sales €200,000, gross profit €50,000**
3. **Sales €500,000, gross profit €100,000**

Why: Margins 30%, 25%, 20%: the biggest profit has the lowest margin.

Topic tasks

4 Gross margin change

Round 2

Two years compared.

Gross margin change, in % points?

Sales, last year	**€200,000**
Gross profit, last year	**€32,000**
Sales, this year	**€190,000**
Gross profit, this year	**€47,500**

ANSWER

9%

€47,500 ÷ €190,000 = 25%;
€32,000 ÷ €200,000 = 16%;
25 − 16 = 9 points

Why: The margin went from 16% to 25%.

5 Raise gross margin

Round 3

You want a higher gross profit margin.

Which change works, and why?

A Cut the showroom rent

B Buy cars more cheaply

ANSWER

✓ Buy cars more cheaply

Why: Rent is an overhead; gross margin is price less the cost of the cars.

6 New net margin

Round 3

Overheads are going up.

New net profit margin, as a %?

Sales	**€200,000**
Gross profit	**€19,900**
Overheads	**€9,000**
Overheads rise by	**10%**

ANSWER

5%

€9,000 + 10% = €9,900;
€19,900 − €9,900 = €10,000;
÷ €200,000 = 5%

Why: Work out the new overheads first, then the margin.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Profitability and liquidity ratios”: the 6 come from these 10 questions.

1 Sales €200,000 and gross profit €50,000. What is the gross profit margin?
✔ **25%**

2 Sales €180,000 and net profit €14,400. What is the net profit margin?
✔ **8%**

3 What does a current ratio of 2:1 tell you about a dealership?
✔ **€2 of current assets for every €1 owed short term**

4 Current assets €90,000 and current liabilities €60,000. What is the current ratio?
✔ **1.5:1**

5 Which ratio measures whether a firm can pay its short-term debts?
✔ **The current ratio**

6 Net profit €24,000 on capital employed of €300,000. What is the return on investment?
✔ **8%**

7 Gross profit margin stays at 20% but net profit margin falls from 8% to 3%. What should the owner look at?
✔ **Expenses, which have risen relative to sales**

8 Which ratio compares profit with the money invested in the business?
✔ **Return on investment**

9 The gross profit margin is 30% on sales of €120,000. What is the gross profit?
✔ **€36,000**

10 Current assets €100,000, including €40,000 of unsold cars; current liabilities €50,000. What is the acid test ratio?
✔ **1.2:1**